

The Confirmations Were the Cheap Part

The new regime call collected confirmations all day yesterday; the two facts that contradict it are worth more this morning.

THE READING

Hedgeye moved the US call from #Quad3 to #Quad1 — growth accelerating, inflation decelerating — in Wednesday's Early Look. July CPI cooperated: headline 3.4% year-on-year from 3.5%, core 2.5% from 2.6%, the lowest core reading since February. The tape cooperated harder. The Russell 2000 closed at a record 3,045.48, the NYSE Composite made a fresh 52-week high, eight of eleven sectors finished green, and the S&P 500 added 0.26% to 7,748.50 with the VIX down to 14.55.

Two things did not cooperate. The 30-year Treasury rose to 5.254%, near its highest in almost twenty years, on the day inflation decelerated; 10s30s steepened to +56bp. And copper, the most growth-sensitive line on the board, sat at 44% of its range, below the midpoint, while gold sat at 63%.

WHAT WISDOM WOULD SAY

Karl Popper argued, in *The Logic of Scientific Discovery* and later in *Conjectures and Refutations*, that a claim is worth what it forbids. No pile of confirming instances establishes a theory; one well-aimed contradiction can break it. Confirmations come cheap because a theory that explains everything rules out nothing.

Wednesday handed the #Quad1 call a full day of confirmations, and confirmations are the part of the evidence that costs least. A broadening tape is what the call predicts, so it adds little — it was already inside the reasoning that produced the call. The 30-year and copper are different. Both are things the call forbids. Growth accelerating with inflation decelerating should not leave the long bond selling off near a two-decade yield high, and should not leave the industrial metal underperforming the precious one. Neither is fatal yet. But between them they carry most of the day's information, and the temptation is to file them as noise because the rest of the board agrees with you.

THE RISK IT JUSTIFIES

A confirmed call justifies holding what you already hold. It does not justify adding on the confirmations. The additions that would be easy this morning — chasing the Russell within thirty points of the top of its band, treating a 14.55 VIX pressed against the floor of a 14.18–17.11 range as comfort, pressing a dollar short with DXY at 99.98 in the top third of a band that ends at 100.24 — are all bets that a confirmed story keeps confirming. Wednesday priced none of them better.

What earns attention is the refutation set, written down before the data rather than after. PPI and jobless claims land at 20:30 GMT+8 tonight, retail sales on Friday. A 30-year through 5.30% with copper still below its midpoint would say the term-premium story is the real one and the quad is a label. DXY through 100.24 breaks that band outright. Either changes the answer.

*Which fact this morning are you calling noise because
everything else agrees with you?*